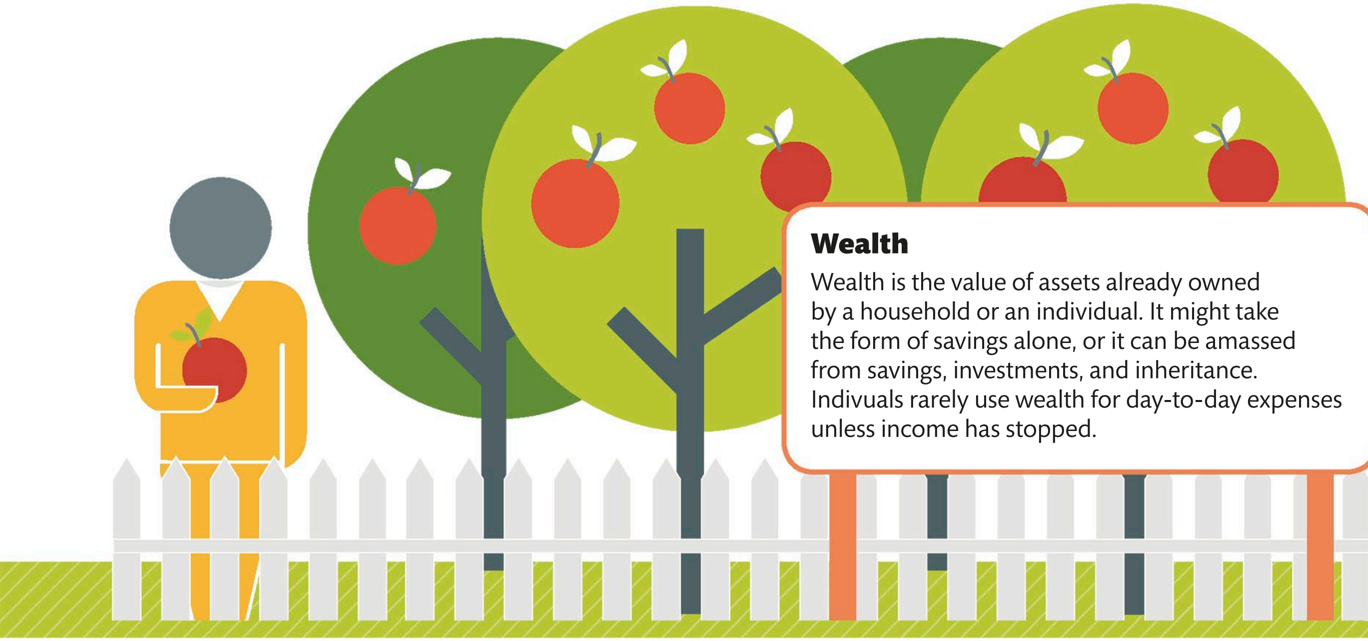
How it works

Wealth is the value of a person's assets, savings, and investments, while income is the money received regularly in return for work, from investments, or as a benefit or pension. Recognising the difference between the two concepts is key to both building and protecting wealth. Income that is closely managed and carefully invested can create wealth over time.



Wealth

Wealth is the value of assets already owned by a household or an individual. It might take the form of savings alone, or it can be amassed from savings, investments, and inheritance. Indivuals rarely use wealth for day-to-day expenses unless income has stopped.

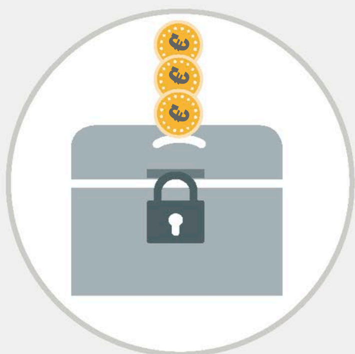
WEALTH

Debts

Debt should be paid off as quickly as possible unless there are advantages in spreading repayments.

Savings

The money left after costs and debt commitments are met is savings. This could be invested into assets.



INVESTED INTO

Assets

The most useful investments generate income in addition to increasing in value.